



**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

April 12, 2022

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INTERNATIONAL LONGSHOREMEN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	FMC Docket No.: <u>22-12</u>
	:	
v.	:	
	:	
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND SSA	:	
ATLANTIC, LLC.	:	
	:	
Respondents.	:	
-----X	:	

VERIFIED COMPLAINT

Complainant, International Longshoremen’s Association, by and through its undersigned counsel, hereby brings this Verified Complaint against Respondents, Gateway Terminals, LLC; Charleston Stevedoring Company, LLC; Ports America Florida, Inc.; SSA Atlantic, LLC, and Ceres Marine Terminals, Inc., and states as follows:

PARTIES

1. The International Longshoremen’s Association (“ILA”) is a labor organization representing longshore workers, clerks and checkers, maintenance and repair workers, and workers employed in related crafts along the East and Gulf Coasts of the United States, including the Ports of Savannah, Georgia, and Charleston, South Carolina. The ILA maintains offices at 5000 West Side Avenue, North Bergen, NJ 07047.

2. Respondent Gateway Terminals, LLC (“Gateway”) is a Georgia limited liability company with a principal place of business at 1 Greer Road, Suite 1 Rae’s Hall, Garden City, GA 31408. Gateway operates marine terminals in the Port of Savannah, Georgia. Gateway is a joint venture of Respondents Ports America, Florida, Inc. (“Ports America”); SSA Atlantic, LLC (“SSA”); and Ceres Marine Terminals, Inc. (“Ceres”), operating under FMC Agreement 201293 (the “FMC Agreement”).

3. Respondent Charleston Stevedoring Company, LLC (“CSC”) is a Delaware limited liability company with a principal place of business at 2265 Clements Ferry Road, Suite 310B, Charleston, SC 29492. CSC operates marine terminals in the Port of Charleston, South Carolina. CSC is a joint venture of Respondents Ports America, SSA, and Ceres operating under the same FMC Agreement.

4. Respondent Ports America is a Florida corporation with its principal place of business at 2150 Guy N. Verger Blvd., Tampa, FL 33602.

5. Upon information and belief, Respondent SSA is a Delaware limited liability company with its principal place of business located at 1131 SW Klickitat Way, c/o Candice M. Woods, Seattle, WA, 98134. SSA also has a place of business located at 107 Southern Blvd, Suite 201, Savannah, GA 31405.

6. Respondent Ceres is a Maryland corporation with its principal place of business located at 565 Marriott Drive, Suite 400, Nashville, TN, 37214. Ceres also has a place of business located at 2 Main St, Savannah, GA 31408.

JURISDICTION

7. The Commission has jurisdiction over this Verified Complaint pursuant to 46 U.S.C. § 41301 because it alleges violations of the Shipping Act of 1984. The Commission also has jurisdiction over this Verified Complaint pursuant to 46 U.S.C. §

41307 because the Verified Complaint alleges that Gateway, CSC, Ports America, SSA, and Ceres (together “Respondents”) operate Gateway and CSC in a manner that is by design trade restrictive and anticompetitive pursuant to 46 U.S.C. § 41102(b); because the Verified Complaint alleges that Gateway and CSCA operate contrary to the terms of the FMC Agreement; pursuant to 46 U.S.C. 41105(6) because the Verified Complaint alleges that Gateway and CSC negotiate charges and rates for covered services in an anti-competitive manner; pursuant to 46 U.S.C. 41106 because the Verified Complaint alleges that any negotiations engaged in by Gateway or CSC—as the sole terminal operator in their respective Ports and together as the sole terminal operator in the two largest Ports in the same geographical area—are illusory and prejudicial to the other party; and pursuant to 46 C.F.R. § 502.68 because the Verified Complaint demands a Declaratory Order stating that the FMC Agreement is anticompetitive and no longer effective.

8. The Commission has personal jurisdiction over Gateway because Gateway has engaged in and continues to engage in international maritime commerce of the United States, and because it has submitted to the jurisdiction of the Commission by filing agreements with the Commission as required by 46 U.S.C. §§ 40301(a), 40302. Article 13 of the FMC Agreement expressly acknowledges that the Agreement and its terms are “[s]ubject to the Shipping Act of 1984, as amended.”

9. The Commission has personal jurisdiction over CSC because CSC has engaged in and continues to engage in such international maritime commerce of the United States, and because it has submitted to the jurisdiction of the Commission by filing agreements with the Commission as required by 46 U.S.C. §§ 40301(a), 40302. Article 13 of the FMC Agreement expressly acknowledges that the Agreement and its terms are “[s]ubject to the Shipping Act of 1984, as amended.”

10. The Commission has jurisdiction over Ports America because it has engaged in and continues to engage in such international maritime commerce of the United States and because, as a terminal operator, Ports America and its agents engage in international maritime commerce of the United States at ports and inland intermodal terminals where they engage in the interchange of cargo containers and container chassis moving in such commerce. The Commission also has jurisdiction over Ports America because Article 13 of the FMC Agreement expressly acknowledges that the Agreement and its terms are “[s]ubject to the Shipping Act of 1984, as amended.”

11. The Commission has jurisdiction over Ceres because it has engaged in and continues to engage in such international maritime commerce of the United States and because, as a terminal operator, Ceres and its agents engage in international maritime commerce of the United States at ports and inland intermodal terminals where they engage in the interchange of cargo containers and container chassis moving in such commerce. The Commission also has jurisdiction over Ceres because Article 13 of the FMC Agreement expressly acknowledges that the Agreement and its terms are “[s]ubject to the Shipping Act of 1984, as amended.”

12. The Commission has jurisdiction over SSA because it has engaged in and continues to engage in such international maritime commerce of the United States and because, as a terminal operator, SSA and its agents engage in international maritime commerce of the United States at ports and inland intermodal terminals where they engage in the interchange of cargo containers and container chassis moving in such commerce. The Commission also has jurisdiction over Ceres because Article 13 of the FMC Agreement expressly acknowledges that the Agreement and its terms are “[s]ubject to the Shipping Act of 1984, as amended.”

FACTUAL ALLEGATIONS

13. Upon information and belief, Ports America, Ceres and SSA were the three marine terminal operators operating in the Port of Savannah, GA and Charleston, SC until December 31, 2019.

14. The Port of Savannah is owned by the Georgia Ports Authority, which leased the marine terminal property to Ports America, Ceres, and SSA until December 31, 2019.

15. The Port of Charleston is owned by the South Carolina States Ports Authority, which leased marine terminal property to Ports America, Ceres, and SSA until December 31, 2019.

16. The ILA and its affiliated local unions represent longshore workers, clerks, checkers, and maintenance workers in the Ports of Charleston and Savannah for the purposes of collective bargaining with their employers, including Ports America, Ceres, and SSA.

17. Ports America, Ceres, and SSA were and are parties to various collective bargaining agreements with the ILA and its affiliated local unions in various ports along the East and Gulf Coasts of the United States, including the Ports of Charleston and Savannah.

18. On March 8, 2019, Ports America, Ceres and SSA submitted a proposed cooperative working agreement, FMC Agreement No. 2019-06783 (“Proposed Agreement”), to the Commission for review pursuant to § 40301(b) of the Act.

19. When filed, the Proposed Agreement envisioned the formation of a joint venture called “NEWCO” that would serve as the sole terminal operator in both the Port of Savannah, GA and the Port of Charleston, SC.

20. NEWCO was intended to be a joint venture that would join Ports America, Ceres and SSA into one sole terminal operator in both Ports.

21. As intended under the Proposed Agreement, NEWCO and the Respondents would collaborate together to exchange pricing and logistics information between one another to establish identical or substantially similar rates and charges in the Ports of Savannah, GA and Charleston, SC.

22. NEWCO, as established in the Proposed Agreement, would become the sole terminal operator in the two largest ports along the United States' southeastern coast and the sole terminal operator in the fourth (Savannah) and ninth (Charleston) largest ports in the United States.

23. NEWCO would then force carriers and other customers to pay the rates and charges demanded by NEWCO, lest the carriers and customers decide to bring their cargo to another region of the United States altogether in order to utilize a port of similar size and cargo capacity.

24. After receiving a copy of the Proposed Agreement, the ILA filed a Comment with the Secretary of the Commission.

25. A copy of the ILA's Comment is attached hereto and incorporated herein as **Exhibit A**.

26. Within its Comment, the ILA argued that NEWCO would be anticompetitive and trade-restrictive under both the Commission's *per se* rule and the Commission's rule of reason framework.

27. Specifically, the ILA argued as follows:

“[T]he creation of Newco limits the carriers' ability to solicit bids on services in the two largest ports in the southeastern region, completely eliminating competition between the terminal operators and forcing the

carriers to pay whatever rate Newco will elect to charge them. Because the agreement fixes prices within the relevant market, the agreement violates the anti-trust laws per se.”

Exhibit A, p. 4.

28. The ILA also argued in its Comment that the Agreement would cause anti-competitive harm because the Agreement “enable[s] Newco to set and negotiate tonnage rates and to negotiate contracts with the ports, labor organizations and third parties, [and accordingly] Newco has been expressly created so that the parties could agree to a price within the relevant market.” **Exhibit A**, p. 4-5.

29. After the ILA filed its Comment, the Commission postponed the proposed effective date of the Proposed Agreement until December 31, 2019 while the Commission gathered additional information from the Respondents concerning how NEWCO would perform and operate.

30. Upon information and belief, while the Proposed Agreement was under review by the Commission, a decision was made to split NEWCO into two entities—one in Savannah and one in Charleston—at the Commission’s direction.

31. Upon information and belief, by its action, the Commission recognized that the establishment of a sole terminal operator in both Savannah and Charleston, as intended by the Proposed Agreement, was clearly trade restrictive and posed a significant harm to competition in the shipping industry.

32. NEWCO never began its operation in either of the two Ports.

33. There were never any filings for the formation or incorporation of NEWCO in the States of Georgia, South Carolina, Delaware, or—upon information and belief—any other state.

34. On December 31, 2019, a final version of the Proposed Agreement was published on the Commission's website as Agreement No. 201293.

35. CSC was formed in the state of Delaware on January 29, 2020, shortly thereafter. CSC is a joint venture of SSA, Ceres, and Ports America that is now acting as the sole terminal operator in Charleston.

36. Gateway is operated by SSA, Ceres, and Ports America as a single entity which is now the only marine terminal operator in Savannah, GA. Gateway has in effect merged SSA, Ceres, and Ports America into the sole terminal operator in the Port of Savannah, GA.

37. Gateway had been originally formed in the State of Georgia on June 20, 1995. Gateway was created as a joint limited liability company between Ceres, Carolina Stevedoring Company, Inc., and two corporate arms of Cooper/T. Smith Stevedoring to operate as a container gatehouse in the Port of Savannah.

38. Upon information and belief, Cooper/T. Smith Stevedoring was purchased and acquired by Respondent SSA prior to entering the Proposed Agreement with the other Respondents.

39. Gateway was administratively dissolved by the state of Georgia from July 29, 2005 through June 15, 2009. It maintained its registration from 2009 onward.

40. On March 30, 2021, Gateway updated its registered office address in order to begin operating in Savannah, GA, in the same joint venture capacity as originally contemplated for NEWCO in the Proposed Agreement.

41. FMC Agreement No. 201293 “Agreement”), as published on the Commission’s website on December 31, 2019, contains language identical to the language found in the Proposed FMC Agreement No. 2019-06783.

42. The FMC Agreement is the effective agreement under which Gateway and CSC operate.

43. The terms set forth in the FMC Agreement are the same terms that Gateway, CSC, and the other Respondents rely on to do business with one another.

44. Accordingly, in the following excerpts from the Agreement, NEWCO can effectively be read as either Gateway or CSC, or both entities together.

45. The Agreement, attached hereto and incorporated herein as **Exhibit B**, expressly provides as follows:

The Parties to this Agreement (each a “Party” and more than one collectively the “Parties”) are identified in Appendix A and are marine terminal operators as defined in the Shipping Act of 1984, as amended (the “Shipping Act”), 46 U.S.C. § 40102(14). Each Party operates public wharves, other marine terminal facilities, or a combination of the foregoing in connection with ocean common carriage. This Agreement covers services and activities of the Parties at the Ports.

Agreement, Article 3.

46. The Agreement provides further that:

NEWCO [now Gateway Terminals, LLC] shall provide marine terminal services and conduct container stevedoring, terminal, container freight station, and activities incidental thereto, at the Ports. Specifically, the Parties agree that, during the term of this Agreement, NEWCO will assume responsibility for providing those facilities and services currently provided by the Parties in their individual capacity in the Ports, including marine terminal gate operations and vessel loading and unloading operations, and the operation of equipment and technology related thereto.

NEWCO and the Parties expect to enter into long-term license agreements with each of the Ports for the use of facilities in those Ports. Such agreements will detail the services to be provided by NEWCO within the scope set out above, and include matters ancillary to those services, such

as development of systems, policies and procedures to enhance operational coordination between those facilities and services which will be provided by NEWCO (e.g., marine terminal gate and vessel loading and unloading operations) and those facilities and services which currently are, and will remain, under the control of the Ports (e.g., operation and manning of cranes and container yard areas), in order to provide more efficient and better quality service for users.

Agreement §§ 4.2-4.3.

47. Section 4.4 of the FMC Agreement provides, *inter alia*, that Gateway and CSC will “[e]stablish rates, charges and competitive practices” and may “[n]egotiate and enter into agreements within the scope of NEWCO’s scope with the Ports and/or any other third parties concerning marine terminal facilities and/or services, and/or agreements to provide stevedoring, and other related services, subject to any applicable governmental filing requirements.”

48. Sections 4.5 and 4.6 of the FMC Agreement permit all of the Respondents to exchange pricing and accounting information between and among one another in order to set charges and rates, to hire labor jointly, and to lease space from the Georgia Ports Authority and the South Carolina State Ports Authority.

49. Article 5.3, Discussion and Exchange of Information provides:

In furtherance of the authorities set forth above, the Parties are authorized to meet as appropriate to discuss and exchange information regarding the following subjects as related to NEWCO’s operations at the Ports:

(a) Joint or independent acquisition and utilization of marketing materials for individual customers and/or groups of customers (conferences, alliances, joint services, carrier networks, ports, and other agreements to which ocean common carriers or ports are parties) (any such entity individually a “Customer” and collectively “Customers”), shippers, beneficial cargo owners, and ocean transportation intermediaries;

(b) Commercial opportunities regarding Customers. This includes vessel calls and rotations, operational efficiencies, cost reductions, the changing shipping environment, large ship operations, supply-chain technology, stevedoring, gate, rail and yard operations, warehousing,

safety and security, customer service, and new product lines;

(c) Joint or independent acquisition, utilization, and best practices relating to operating systems and equipment;

(d) In addition, the Parties are authorized jointly to meet with and exchange information with Customers, shippers, other marine terminal operators, beneficial cargo owners, and ocean transportation intermediaries regarding operational issues and performance criteria at a Port or the Ports, subject to any limitations or filing requirements set forth in the Shipping Act and FMC regulation Agreement, Article 3. . .

Agreement § 5.3 (a)-(d).

50. In January 2020, Gateway began to operate as the sole terminal operator in the Port of Savannah, GA under the terms of the FMC Agreement.

51. In January 2020, CSC likewise began to operate as the sole terminal operator in the Port of Charleston, SC under the terms of the FMC Agreement.

52. As contemplated by the FMC Agreement, although the two joint ventures operate under separate names, they are both controlled by Respondents Ports America, SSA, and Ceres.

53. Upon information and belief, all of the Respondents continue to share information and services together as set forth in Sections 4.5, 4.6 and 5.3 of the FMC Agreement. **Exhibit B.**

54. Upon information and belief, while operating under the terms of the effective FMC Agreement, the Respondents have established single rates and charges or substantially similar rates and charges in both Ports.

55. By continuing to set rates and charges and to share information as set forth within the FMC Agreement, the Respondents have created a single terminal operator that completely controls rates, charges, and bargaining opportunities in the southeastern region's largest two Ports, Charleston and Savannah.

56. As the ILA predicted when it submitted its Comment several years ago, Gateway and CSC operate as intended by the Respondents to restrain trade and competition in the Ports of Savannah, GA and Charleston, SC.

**COUNT ONE AGAINST THE RESPONENTS
FOR RESTRAINT ON COMPETITION AND TRADE**

57. The ILA re-alleges and incorporates by reference paragraphs 1-56 as if fully started herein.

58. The Commission is expressly directed to reject agreements that are “likely to substantially lessen competition in purchasing of certain covered [Marine Terminal Operator] services.” Frank LoBiondo Coast Guard Authorization Act of 2018, Pub. L. No. 115-282, Title VII § 710.

59. Section 4.4 of the FMC Agreement states that the Respondents shall establish competitive rates and charges in the Port of Savannah and the Port of Charleston.

60. Through the express terms of the FMC Agreement and by nature of its operation as sole terminal operator in the Port of Savannah, Gateway alone sets and controls the prices that carriers will pay to load and unload cargo in the Port, requiring carriers and labor organizations to negotiate the pricing of services with Gateway alone.

61. Likewise, as sole terminal operator in the Port of Charleston, CSC alone sets and controls the prices that carriers will pay to load and unload cargo in the Port, requiring carriers and labor organizations to negotiate the pricing of services with CSC alone.

62. Upon information and belief, a carrier or cargo customer can only avoid paying the rates and charges established by Gateway or CSC by refusing to call in either

the Port of Savannah or the Port of Charleston.

63. Thus, a carrier is forced to choose between paying the arbitrary rates and charges set by Gateway or CSC or be forced to call at another port.

64. This price-fixing is made even more egregious because the only true competitor in terms of size and tonnage capacity in the southeastern region for the Port of Savannah, GA is the Port of Charleston, SC and vice versa.

65. Upon information and belief, Gateway, CSC and the remaining Respondents, which are the same three terminal operators that jointly operate both Gateway and CSC, discuss the rates and charges to be set in both of the ports which were to be covered by NEWCO under the Proposed Agreement.

66. Upon information and belief, the Respondents set rates and charges in one of the two ports either identically to or substantially similar to the rates and charges assessed in the other of the two ports.

67. In effect, in order to avoid paying the rates and charges set by Gateway in the Port of Savannah or CSC in the Port of Charleston, carriers must either pay the rates and charges demanded by Gateway and/or CSC or refuse to utilize both of the two largest ports in the southeastern region altogether.

68. Carriers must then travel to either the Port of Jacksonville, Florida or Wilmington, North Carolina to avoid the Respondents' monopoly.

69. Plainly, this total control over terminal operation and related charges and rates in the two largest ports in the southeastern region cannot be competitive.

70. By engaging in this price-fixing in the two largest ports in the southeastern United States, Gateway, CSC and the Respondents create a lock on rates and charges to access an entire region of the United States.

71. Accordingly, Gateway and CSC operate in the same trade-restrictive and anticompetitive manner that was contemplated for NEWCO within the Proposed Agreement.

72. Upon information and belief, the rates and charges imposed by Gateway and CSC from January 1, 2020 to the present have forced carriers and other cargo customers to pay inflated rates and charges for the cost of doing business with Gateway's and CSC's monopoly in as much as \$1,000,000.00, though the damages caused by Respondents may far exceed this amount in proportion to the harm caused by the Respondents.

73. To prevent further harm by the Respondents to the ocean carriers and residential customers and consumers in and around the Ports of Savannah, GA, and Charleston, SC, the ILA demands that the Commission impose monetary reparations from the Respondents, jointly and severally, in an amount to be shown.

**COUNT TWO AGAINST THE RESPONDENTS
FOR RESTRAINT ON COMPETITION AND TRADE
THROUGH THEIR MERGER**

74. The ILA re-alleges and incorporates by reference paragraphs 1-73 as if fully stated herein.

75. Ports America, Ceres and SSA were competitors in the market for marine terminal operations and stevedoring in the Port of Savannah, GA.

76. Likewise, they were competitors in the market for marine terminal operations and stevedoring in the Port of Charleston, SC.

77. Under the FMC Agreement, Gateway has assumed all of the functions of the once competitors as sole terminal operator within the Port of Savannah, GA and CSC has assumed all of the functions of the once competitors as sole terminal operator within

the Port of Charleston, SC.

78. Ports America, Ceres and SSA previously performed terminal operation and stevedoring services in competition with one another.

79. The express terms of the FMC Agreement authorize Gateway and CSC to negotiate rates, prices and enter primary and third party contracts, completely eliminating competition between and among the former competitors in both of the two large ports.

80. This elimination of competition results in what is in effect a merger between Ports America, Ceres and SSA which covers the Port of Savannah, GA and the Port of Charleston, SC.

81. Upon information and belief, the rates and charges imposed by Gateway and CSC from January 1, 2020 to the present have forced carriers and other cargo customers to pay inflated rates and charges for the cost of doing business with Gateway's and CSC's monopoly in as much as \$1,000,000.00, though the damages caused by Respondents may far exceed this amount in proportion to the harm caused by the Respondents.

82. To prevent further harm by the Respondents to the ocean carriers and residential customers and consumers in and around the Ports of Savannah, GA, and Charleston, SC, the ILA demands that the Commission impose monetary reparations from the Respondents, jointly and severally, in an amount to be shown.

**COUNT THREE AGAINST THE RESPONDENTS
FOR VIOLATIONS OF THE CLAYTON ACT**

83. The ILA re-alleges and incorporates by reference paragraphs 1-82 as if fully stated herein.

84. Section 13 of the Clayton Act prohibits any person engaged in commerce

from offering services to a customer unless the prices charged for services are on proportionally equal terms to all other customers competing in the distribution of such products or commodities.

85. As sole terminal operator in the Port of Savannah, Gateway acts to completely block customer competition.

86. Likewise, as sole terminal operator in the Port of Charleston, CSC acts to completely block customer competition.

87. Together, the Respondents, as the sole terminal operators in either port, act to completely block customer competition.

88. Pursuant to the Agreement, customers can now only bargain to negotiate rates and charges with Gateway or CSC, which by contemplation of the FMC Agreement, set rates and charges with one another.

89. Upon information and belief, all customers which wish to ship containerized cargo through Savannah, GA must pay an identical rate and charge in order to do so. Customers must do the same if they wish to ship containerized cargo through Charleston, SC.

90. Prior to the joint venture, customers could individually negotiate rates and charges with each of the three Respondent terminal operators which were formerly competitors in each Port.

91. Carriers and customers must then factor in this rate and charge into the cost which the carrier or customer then itself charges to consumers in southeastern United States.

92. By engaging in this price-fixing for terminal operator rates and charges offered by the Respondents, the Respondents have violated Section 13(d) and (e) of the

Clayton Act, 15 U.S.C. § 13(d), (e).

93. The rates and charges imposed by Gateway and CSC from January 1, 2020 to the present have forced carriers and other cargo customers to pay inflated rates and charges for the cost of doing business in either the Port of Charleston or Port of Savannah.

94. To cover these inflated rates and charges imposed by Respondents, the carriers and cargo customers must pass the artificially inflated costs to consumers in the southeastern United States.

95. To prevent further harm by the Respondents to the ocean carriers and residential customers and consumers in and around the Port of Savannah, GA, and Charleston, SC, the ILA demands that the Commission impose monetary reparations from the Respondents, jointly and severally, in an amount to be shown.

96. To prevent further harm by the Respondents to the ocean carriers and residential customers and consumers in and around the Port of Savannah, GA and the Port of Charleston, SC, caused by the inflated rates and charges demanded by the Respondents, the ILA demands that the Commission impose monetary reparations, in an amount to be shown, in accordance with the Clayton Act, 15 U.S.C. § 15.

**COUNT FOUR AGAINST THE RESPONDENTS
FOR ENGAGING IN CONCERTED ACTION
IN VIOLATION OF § 41105(6)**

97. The ILA re-alleges and incorporates by reference paragraphs 1-96 as if fully stated herein.

98. Section 41105(6) of the Shipping Act, 46 U.S.C. § 41105(6), makes it unlawful for a common carrier to negotiate for the purchase of covered services in violation of the United States antitrust laws.

99. As set forth in more detail above, the FMC Agreement permits the Respondents to price-fix the rates and charges charged to carriers and other customers in the two largest ports in the southeastern United States.

100. This price-fixing for services is a violation of Section 13(d) and (e) of the Clayton Act, 15 U.S.C. § 13(d), (e).

101. By engaging in this price fixing for terminal operator rates and charges offered by the Respondents, the Respondents have violated Section 41105(6) of the Shipping Act.

102. Each day that Gateway and CSC have operated under the FMC Agreement since its effective date was a separate violation by the Respondents of Section 41105(6).

**COUNT FIVE AGAINST THE RESPONDENTS
FOR REFUSING TO DEAL AND NEGOTIATE**

103. The ILA re-alleges and incorporates by reference paragraphs 1-102 as if fully stated herein.

104. Section 41106(2) of the Shipping Act, 46 U.S.C. § 41106(2), makes it unlawful for a marine terminal operator to impose any undue or unreasonable prejudice or disadvantage with respect to any person.

105. Section 41106(3) of the Shipping Act, 46 U.S.C. § 41106(3), makes it unlawful for a marine terminal operator to unreasonably refuse to deal or negotiate with any person.

106. As set forth in more detail above, the Agreement permits Gateway, CSC and the other Respondents to fix the rates and charges charged to carriers and other customers in the two largest ports in the southeastern United States.

107. By engaging in this price-fixing for terminal operator rates and charges

offered by the Respondents, any rates and charges imposed by Respondents are unreasonable and disadvantage the carriers and other customers which must pay the arbitrary rates and charges established by the Respondents to utilize either the Port of Savannah, GA or the Port of Charleston, SC.

108. By engaging in this price-fixing, any negotiations with Gateway or CSC are illusory as there is no competition in the market within the Ports of Savannah or Charleston.

109. The Respondents have therefore violated Section 41106(2) and (3) of the Shipping Act and each day that either Gateway or CSC has operated under the FMC Agreement since its effective date was a separate violation by the Respondents of Section 41105(6).

**COUNT SIX AGAINST THE RESPONDENTS
FOR OPERATING CONTRARY TO THE AGREEMENT AND
FOR MODIFYING THE AGREEMENT**

110. The ILA re-alleges and incorporates by reference paragraphs 1-109 as if fully started herein.

111. Section 41102(b) of the Shipping Act prohibits any entity which has filed an agreement pursuant to Section 40302 of the Shipping Act from operating contrary to the express terms of the agreement filed with the Commission.

112. Section 41102(b) also prohibits any entity which has filed an agreement pursuant to Section 40302 from modifying the agreement as filed and approved by the Commission.

113. Section 4.4 of the Agreement provides that Gateway will “[e]stablish rates, charges and competitive practices” with all entities that it contracts its services to.

114. By nature of its status as sole terminal operator within the Port of

Savannah, Gateway cannot establish competitive rates and charges because there is no other terminal operator which customers can approach for a competitive rate.

115. Likewise, as sole terminal operator within the Port of Charleston, CSC cannot establish competitive rates and charges because there is no other terminal operator which customers can approach for a competitive rate.

116. Upon information and belief, a carrier must pay the rates and charges as set forth by Gateway, without any negotiation, because Gateway is the sole terminal operator in the Port of Savannah, GA, and must pay the rates and charges as set forth by CSC, without any negotiation, because CSC is the sole terminal operator in the Port of Charleston.

117. Upon information and belief, Respondents, through the information sharing provisions of the FMC Agreement, **Exhibit A**, Section 5.3, work together to set charges and rates consistent in both the Port of Charleston and Port of Savannah.

118. These are not competitive practices.

119. By operating contrary to the express terms of Section 4.4 of the FMC Agreement, the Respondents have individually and collectively violated Section 41102(b) of the Shipping Act.

120. Each day that Gateway or CSC operated contrary to Section 4.4 of the FMC Agreement since its effective date was a separate violation by the Respondents, jointly and severally, of Section 41102(b) of the Shipping Act.

**COUNT SEVEN AGAINST THE RESPONDENTS
FOR A DECLARATORY ORDER**

121. The ILA re-alleges and incorporates by reference paragraphs 1-120 as if fully started herein.

122. 46 C.F.R. § 502.68 of the Commission's regulations permit any person to file a petition with the Commission for a Declaratory Order to end a controversy.

123. As stated above, the Commission is expressly directed to reject agreements that operate in a trade-restrictive and anticompetitive manner under the Frank LoBiondo Coast Guard Authorization Act of 2018, Pub. L. No. 115-282, Title VII § 710.

124. By engaging in rate and charge fixing in the two largest ports in the southeastern United States and for the reasons set forth in more detail herein, Gateway and CSC operate in the same trade-restrictive and anticompetitive manner in which the Respondents intended that NEWCO would operate within the Proposed Agreement.

125. The ILA demands that the Commission issue a Declaratory Order stating that the FMC Agreement No. 201293 substantially lessens competition in the purchasing of certain covered Marine Terminal Operator services in violation of the United States' antitrust laws.

126. The ILA further demands that the Commission rescind the FMC Agreement and declare the FMC Agreement ineffective.

COUNT EIGHT AGAINST THE RESPONDENTS FOR OTHER APPROPRIATE RELIEF

127. The ILA re-alleges and incorporates by reference paragraphs 1-126 as if fully stated herein.

128. Though Ports America, SSA and Ceres continue to exist in a legal sense, they no longer perform any terminal operation services in the Port of Savannah, GA or the Port of Charleston, SC.

129. All terminal operation services in the Port of Savannah, GA, are performed by Gateway and all terminal operation services in the Port of Charleston, SC,

are performed by CSC.

130. In reality, the three former competitors have entered a merger between and amongst themselves to monopolize terminal operation services in both of the Ports.

131. The legality of a merger is to be assessed by the concurrent jurisdiction of the Federal Trade Commission and the Department of Justice rather than the Commission alone.

132. In its comment, the ILA requested the Commission to direct the Respondents to file and complete the necessary merger filings with the Federal Trade Commission in connection with the FMC Agreement before the FMC Agreement became effective. **Exhibit A**, p. 7.

133. Upon information and belief, the Respondents never filed the necessary merger filings with the Federal Trade Commission during the Commission's review period.

134. The Commission should direct the Respondents to file the necessary merger filings and declare the FMC Agreement ineffective until the Federal Trade Commission has ruled on the legality of the merger between the Respondents.

DESIGNATION OF HEARING PLACE

The ILA respectfully requests that any hearing in this matter be considered at the Federal Maritime Commission's offices, located at 800 North Capitol Street, N.W Washington, D.C. 20573, or in light of the ongoing Coronavirus Pandemic, via a video conference platform.

PRAYER FOR RELIEF

WHEREFORE, the ILA demands judgment against the Respondents as follows:

(a) As for the first and second counts, that the Commission enter an order

directing the Respondents, severally and jointly, to pay reparations in the amount of \$1,000,000 or in a manner shown to be commensurate with the harm caused by the Respondents' anticompetitive and trade restrictive practices in the Port of Savannah, GA and Charleston, SC in accordance with § 41107(a);

(b) As for the third count, that the Commission direct the Respondents to pay, severally and jointly, treble damages and interest allowable under 15 U.S.C. § 15(a);

(c) As for the fourth, fifth and sixth counts, that the Commission enter an order directing the Respondents, severally and jointly, to pay reparations in the amount of \$1,000,000 or in an amount to be shown that is commensurate with the Respondents' violations of the Shipping Act, 46 U.S.C. §§ 41102(b), 41105(6), and 41106(b) and (c) and in accordance with § 41107(a);

(d). As for the seventh count, that the Commission enter a declaratory order rescinding FMC Agreement No. 201293 and declaring FMC Agreement No. 201293 ineffective;

(e). As for the eighth count, that the Commission enter an order rescinding FMC Agreement No. 201293 and declaring FMC Agreement No. 201293 ineffective until the Federal Trade Commission has ruled on the legality of the joint venture between the Respondents in accordance with its review of mergers between former competitors;

(f). Awarding the ILA reasonable and necessary attorney fees, costs and expenses incurred in the prosecution of their claims for violations of the antitrust laws against the Respondents, pursuant to 15 U.S.C. § 15(a) and 46 U.S.C. § 41305(d); and

(g). Granting such other and further relief as the Commission deems just and proper, together with costs and disbursements of this action.

Dated: April 1, 2022

MAZZOLA MARDON, P.C.

By: 

John P. Sheridan
Nicholas M. Graziano
26 Broadway, 17th Floor
New York, New York 10004
Tel. (212) 425-3240
Fax (212) 509-8952

*Counsel to Plaintiff, International
Longshoremen's Association*

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

-----X
INTERNATIONAL LONGSHOREMEN'S
ASSOCIATION,

Complainant,

v.

GATEWAY TERMINALS, LLC;
CHARLESTON STEVEDORING COMPANY,
LLC; PORTS AMERICA FLORIDA, INC.;
CERES MARINE TERMINALS, INC.; AND SSA
ATLANTIC, LLC.

Respondents.
-----X

FMC Docket No.: _____

VERIFICATION

I, Dennis A. Daggett, am Executive Vice President of the International Longshoremen's Association ("ILA"), located at 5000 West Side Avenue, North Bergen, NJ 07047. I have read the foregoing Verified Complaint and believe, to the best of my knowledge, information, and belief, including information received from others, that the facts stated therein are true and correct. I declare under penalty of perjury that the foregoing is, according to my knowledge, information, and belief, true and correct.

Executed on: April 1, 2022.



Dennis A. Daggett
Executive Vice President, ILA

EXHIBIT A

MARRINAN & MAZZOLA MARDON, P.C.

ATTORNEYS AT LAW

**26 BROADWAY, 17TH FLOOR
NEW YORK, NEW YORK 10004**

NICHOLAS M. GRAZIANO
ngraziano@mmmpc.com

**TELEPHONE
(212) 425-3240**

**FACSIMILE
(212) 509-8952**

April 26, 2019

VIA UPS & EMAIL – Secretary@fmc.gov

Ms. Rachel E. Dickon, Secretary
Federal Maritime Commission
800 North Capitol Street, N.W
Washington, DC 20573

**Re: Proposed Marine Terminal Operator Agreement
Doc. No.: 2019-06783**

Dear Ms. Dickon:

This office is General Counsel to the International Longshoremen's Association, AFL-CIO ("ILA"). I write to you today regarding a proposed Marine Terminal Operator Agreement submitted by SSA Atlantic, LLC, Ceres Marine Terminals Inc. and Ports America Florida, Inc. which was recently published in the Federal Register.

I submit the enclosed Comment on behalf of the ILA. For the reasons set forth more fully within the Comment, the ILA strongly urges the Commission to reject the agreement on the grounds that it is likely to lessen competition substantially in the Port of Charleston, South Carolina and the Port of Savannah, Georgia.

Please feel free to contact me if you need anything further.

Very truly yours,



Nicholas M. Graziano

NG/nr
Encl.

MEMORANDUM

COMMENT

TO: Ms. Rachel E. Dickon, Secretary, Federal Maritime Commission

FROM: Andre Mazzola Mardon and Nicholas M. Graziano
Marrinan & Mazzola Mardon, P.C.
On behalf of the International Longshoremen's Association, AFL-CIO

DATE: April 25, 2019

Re: Georgia-South Carolina Marine Terminal Operator Cooperative Working Agreement, Document Number: 2019-06783

The Shipping Act was recently amended to clarify the interplay between the concurrent jurisdiction of the Department of Justice ("DOJ") and the Federal Maritime Commission ("Commission"). Central to the interplay between the two agencies is the regulation of competitor agreements which would violate the anti-trust laws. Of course, the Commission is expressly directed to reject agreements that are "likely to substantially lessen competition in purchasing of certain covered [Marine Terminal Operator] services." Frank LoBiondo Coast Guard Authorization Act of 2018, Pub. L. No. 115-282, Title VII § 710. To facilitate the analysis as to whether an agreement will substantially lessen competition, the Commission is to defer to the DOJ's interpretations of the antitrust laws. *Id.* at § 709 (b)(1). Accordingly, this Comment urges the Commission to reject the Georgia – South Carolina Marine Terminal Operator Cooperative Working Agreement ("G-SC Agreement") because the agreement proposes an arrangement in violation of the DOJ's antitrust laws.

BACKGROUND

SSA Atlantic, LLC, Ceres Marine Terminals, Inc. and Ports America Florida, Inc., the parties to the G-SC Agreement (collectively, the “MTO Parties”), are the only terminal operators in the ports of Charleston, South Carolina and Savannah, Georgia (collectively, the “Ports”), the two largest ports in the southeastern coast of the United States. Each of the MTO Parties to the G-SC Agreement are signatories to a Master Contract between the United States Maritime Alliance, Ltd. (“USMX”), an association of carriers, port associations and terminal operators and the International Longshoremen’s Association, AFL-CIO, a labor organization providing labor to USMX members throughout the eastern and southern United States, Puerto Rico and Canada. Historically, each of the MTO parties competed to provide the lowest service rates to carriers in order to secure the carriers’ business. The MTO Parties now seek to create a new entity, known as Newco, which under the terms of the G-SC Agreement will in effect replace the MTO Parties’ role in the ports. Instead, Newco would solely provide marine container terminal services and stevedoring services in their place. Through the G-SC Agreement, the parties seek to control the prices that carriers will pay to load and unload cargo in the above Ports, requiring carriers to negotiate the pricing of services with Newco alone. This comment will establish that the G-SC Agreement is unlawfully restrictive and anticompetitive, and therefore, must be rejected by the Commission.

I. THE G-SC AGREEMENT IS UNLAWFUL UNDER EITHER THE DOJ’S PER-SE OR RULE OF REASON FRAMEWORK

Two types of analysis are used by the DOJ and the federal courts to determine whether an Agreement among two or more competitors would violate the anti-trust laws. The first, known as the per se rule, typically applies to agreements which would raise prices of goods or services,

rig bids, or share or divide a market by allocating customers, suppliers, territories, or lines of commerce. *Antitrust Guidelines for Collaboration Among Competitors*, Federal Trade Commission & U.S. Dep't of Justice (Apr. 2000) ("Antitrust Guidelines"), pp. 3-4. An agreement that on its face would tend to raise price or reduce output fails the per se analysis. See *id.* at 3. The second analysis, known as the Rule of Reason framework, determines whether the challenged agreement likely harms competition by increasing the ability or incentive of profitability through raised prices, reduce output, quality, service or innovation below what rates would prevail in the market in the absence of the agreement. The proposed G-SC Agreement is unlawful under either analysis.

A. The Agreement is Unlawful Per Se

It is hornbook law that a proposed collaborative agreement with the effect of fixing a price or rigging a bid is illegal per se. See *e.g.*, *Palmer v. BRG of Georgia, Inc.*, 498 U.S. 46 (1990); *United States v. Trenton Potteries, Co.*, 273 U.S. 392 (1927). Such agreements are illegal without inquiry into the parties' proffered justifications for entering such an agreement. Though this analysis is typically applied to agreements among criminal enterprises, it still has relevance here. The G-SC Agreement seeks to limit the bidding within the ports by creating one entity, Newco, which will supply all terminal operation and stevedoring services. The agreement totally eliminates the bidding process that historically occurred between the terminal operators within the ports. Rather than submitting bids to the terminal operators in the Port of Charleston or the Port of Savannah, the proposed agreement permits Newco to fix one rate applicable to both ports.

Though competitors may in some cases create a joint venture entity to perform one or more of the competitors' business functions (i.e., to perform a function such as production,

distribution or marketing **alone**) it is always the conduct of the parties that is determinative. The G-SC Agreement proposes that the three MTO parties, each a terminal operator pursuant to 46 C.F.R. 535.104(q), create a new entity, a **fourth terminal operator** as admitted by the parties, to replace the MTO parties and provide all terminal operation and stevedoring services within the ports. Under the express terms of the agreement, Newco will perform all of the duties and services of any other terminal operator and will have the power to establish rates, publish schedules and negotiate agreements in the ports just as any other terminal operator would. *See* G-SC Agreement, pp. 3-4. In effect, the creation of Newco limits the carriers' ability to solicit bids on services in the two largest ports in the southeastern region, completely eliminating competition between the terminal operators and forcing the carriers to pay whatever rate Newco will elect to charge them. Because the agreement fixes prices within the relevant market, the agreement violates the anti-trust laws *per se*.

B. The Agreement is Unlawful Under the Rule of Reason Analysis

To determine whether a collaborative agreement is unlawful, the Rule of Reason analysis utilizes a two-step test. First, it must be determined whether the agreement will potentially cause anti-competitive harm. The key question in this determination is whether the agreement has market power, or in other words, whether the agreement gives the parties a greater ability to collude on matters such as pricing, customers, geographic territory, or other competitively sensitive areas in a given market. Of particular importance in answering this question is whether the agreement facilitates the sharing of pricing, as an agreement to fix prices or rates charged is strong evidence of collusion between the parties. *Antitrust Guidelines*, p. 10. By the terms of G-SC Agreement, which enable Newco to set and negotiate tonnage rates and to negotiate contracts

with the ports, labor organizations and third parties, Newco has been expressly created so that the parties could agree to a price within the relevant market. *See* Agreement, pp. 3-4

Once the potential for anti-competitive harm has been demonstrated, the manner in which the market will be affected must be identified. An agreement that affects the market share or market concentration of the parties must be weighed with particular skepticism. *Antitrust Guidelines*, p. 17. Market share considers the ability of the parties to a collaboration agreement to restrict their own output in order to achieve anticompetitive effects. *Id.* Similarly, market concentration assesses the difficulty and cost to the parties in a collaboration agreement to collude on price or other factors in a relevant market. Again, the terms of the G-SC Agreement grant Newco and the signatory parties a veritable lock on competition in the context of both market share and market concentration. Newco will become, in all but name, the sole terminal operator servicing the two largest ports within the southeastern region of the United States. Newco will control a significant market share in the area, permitting Newco to completely restrict competitive pricing in the area. The creation of Newco will also concentrate the terminal operators into one entity, completely eliminating competition between the former competitors. Under the terms of the agreement “the [p]arties are authorized to meet together, exchange information, consult, discuss, [and] reach agreement about cooperation of the ports.” The parties are also authorized to meet and exchange information concerning commercial opportunities for Newco, including customer pricing, labor costs and the like. The agreement plainly promotes the collusion of price-fixing between the parties by the agreement’s terms. The G-SC expressly states that it will reduce competition in the market and greatly increase Newco’s market share and market concentration of port operations within the region. The G-SC Agreement is therefore

unlawful under a Rule of Reason analysis. The Commission should reject the MTO parties' proposed monopoly over the ports within the southeastern United States.

II. THE G-SC AGREEMENT CONSTITUTES A MERGER BETWEEN THE PARTIES

The G-SC Agreement proposed by the MTO Parties is a merger filed with the Commission under the guise of a collaboration agreement. In contrast with collaboration agreements among competitors, mergers completely end competition between the merging parties in the parties' relevant market. *Antitrust Guidelines*, p. 5. Mergers are designed to be permanent, while competitor collaborations are typically limited in duration. A collaboration agreement will be treated as a merger where (1) the participants to the agreement are competitors in the relevant market; (2) the formation of the collaboration involves an integration of activity in the market; (3) the integration eliminates all competition among the participants in the market and (4) the collaboration does not terminate within a limited time period by its own express terms. *See id.*

Here, each of the MTO Parties were competitors in the market of marine terminal operations and stevedoring in the states of South Carolina and Georgia. The proposed G-SC Agreement creates a new entity, Newco, which will assume the functions of the sole terminal operator throughout the ports in which the MTO Parties previously performed terminal operation and stevedoring services in competition with one another. The express terms of the agreement authorize Newco to negotiate rates, prices and primary and third party contracts within the ports completely eliminating competition between the MTO Parties. Finally, there is no termination date in the formation agreement and Newco will continue to function as the sole terminal operator until the MTO Parties unanimously agree to terminate the G-SC Agreement.

Therefore, in reality, the G-SC Agreement constitutes a merger between the parties. The legality of the proposed merger is to be assessed by the concurrent jurisdiction of the Federal Trade Commission and the DOJ. The MTO Parties should be ordered to file and complete the necessary merger filings with the Federal Trade Commission in connection with the G-SC Agreement. The agreement should not be permitted to go into effect until the Federal Trade Commission has determined the anti-competitive effect of the proposed merger under the Horizontal Merger Guidelines. Only after this Commission and the Federal Trade Commission have ruled that the G-SC Agreement is lawful and unlikely to cause anti-competitive harm should the agreement becomes effective.

CONCLUSION

For the reasons set forth above, the ILA respectfully urges this Commission to find that the G-SC Agreement is unlawfully restrictive and anticompetitive, and further, that SSA Atlantic, LLC, Ceres Marine Terminals, Inc. and Ports America Florida, Inc., be ordered to complete and file the appropriate merger filings with the Federal Trade Commission, in addition to any other obligations before this Commission.

Dated: New York, New York
April 26, 2019

Respectfully submitted,

MARRINAN & MAZZOLA MARDON, P.C.



Andre Mazzola Mardon
Nicholas M. Graziano
26 Broadway, 17th Floor
New York, NY 10004
Tel: (212) 425-3240
Fax: (212) 509-8952
amm@mmmpc.com
ngraziano@mmmpc.com

*On behalf of the International Longshoremen's
Association, AFL-CIO*

EXHIBIT B

Original Title Page

**GEORGIA – SOUTH CAROLINA MARINE TERMINAL OPERATOR
COOPERATIVE WORKING AGREEMENT**

FMC Agreement No. 201293

A Cooperative Working Agreement

Expiration Date: [None]

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ARTICLE 1 FULL NAME OF AGREEMENT

This Agreement shall be known as the Georgia – South Carolina Marine Terminal Operator Cooperative Working Agreement (“Agreement”).

ARTICLE 2 PURPOSE OF THE AGREEMENT

SSA Atlantic, LLC¹ (“SSA”), Ceres Marine Terminals Inc. (“Ceres”) and Ports America Florida, Inc. (“Ports America”) are authorized to form a new entity (“NEWCO”), a Delaware limited liability company, to provide container marine terminal services and stevedoring in the ports of Savannah, Georgia and Charleston, South Carolina (the “Ports”). The purpose of this Agreement is to set forth the terms and conditions on which NEWCO shall operate, the agreement of the Parties regarding services to be provided to and by NEWCO and other related cooperative working arrangements among the Parties.

ARTICLE 3 PARTIES TO THE AGREEMENT/GEOGRAPHIC SCOPE

The Parties to this Agreement (each a “Party” and more than one collectively the “Parties”) are identified in Appendix A and are marine terminal operators as defined in the Shipping Act of 1984, as amended (the “Shipping Act”), 46 U.S.C. § 40102(14). Each Party operates public wharves, other marine terminal facilities, or a combination of the foregoing in connection with ocean common carriage. This Agreement covers services and activities of the Parties at the Ports.

¹ Until recently SSA Atlantic, LLC was known as SSA Cooper LLC.

ARTICLE 4 OVERVIEW OF AGREEMENT AUTHORITY

4.1 NEWCO shall operate as a Marine Terminal Operator defined in 46 CFR 535.104(q). NEWCO's organization and procedures are determined by NEWCO's formational documents, as agreed, amended and supplemented by the Parties. The NEWCO Members are Ceres, Ports America and SSA.

4.2 NEWCO shall provide marine terminal services and conduct container stevedoring, terminal, container freight station, and activities incidental thereto, at the Ports. Specifically, the Parties agree that, during the term of this Agreement, NEWCO will assume responsibility for providing those facilities and services currently provided by the Parties in their individual capacity in the Ports, including marine terminal gate operations and vessel loading and unloading operations, and the operation of equipment and technology related thereto.

4.3 NEWCO and the Parties expect to enter into long-term license agreements with each of the Ports for the use of facilities in those Ports. Such agreements will detail the services to be provided by NEWCO within the scope set out above, and include matters ancillary to those services, such as development of systems, policies and procedures to enhance operational coordination between those facilities and services which will be provided by NEWCO (e.g., marine terminal gate and vessel loading and unloading operations) and those facilities and services which currently are, and will remain, under the control of the Ports (e.g., operation and manning of cranes and container yard areas), in order to provide more efficient and better quality service for users.

4.4 NEWCO may act in furtherance of its stevedoring, terminal, and container freight station and activities incidental thereto, as follows:

- (a) Establish rates, charges and competitive practices.
- (b) Publish marine terminal operator schedules.
- (c) Negotiate and enter into agreements within the scope of NEWCO's scope, with the Ports and/or any other third parties concerning marine terminal facilities and/or services, and/or agreements to provide stevedoring, and other related services, subject to any applicable governmental filing requirements.
- (d) Take measures necessary or appropriate to comply with applicable governmental requirements, including with respect to security, safety, environmental and other standards;
- (e) Either directly or through subcontractors hire labor, including union labor, for its authorized operations;
- (f) Either directly or through subcontractors, own and/or lease and operate cranes, lift machines, trucks and other equipment and gear to be used for NEWCO's purposes;
- (g) Enter into agreements in its own name to obtain services and materials required for such operations. Such services and materials may include:
 - (i) payroll, coordination of external audits, billing, and accounts payable;
 - (ii) tax services, such as the preparation and filing of, and assistance with respect to, tax returns and reports to the Internal Revenue Service;

(iii) legal services; insurance services, including assistance in designing, obtaining and negotiating insurance policies;

(iv) property management services, including the administration of leasehold and/or ownership interests in land and equipment;

(v) human resources services;

(vi) services related to public affairs;

(vii) marketing, advertising, and public relations services, such as developing a customer service program, and/or pursuing third party opportunities;

(viii) general services with respect to government relations;

(ix) vessel planning services;

(x) provision of any guarantees to a Port that may be necessary as security required by such Port under any agreements between any of the Parties and any Port for use of facilities at that Port.

(h) Engage in such other activities as are customary for a marine terminal and/or stevedoring operation within the scope of NEWCO's license agreements.

(i) Perform all functions necessary to operate a Delaware limited liability company, including but not limited to maintenance of company books and records, preparation of financial statements, filing of tax returns and other tax information as required, establishment of bank accounts and investments, maintenance of offices and hiring and management of personnel, indemnification of managers and officers, and maintenance of insurance.

4.5 The Parties are authorized to consult, exchange information, discuss, and make and implement agreements regarding the subjects of this Article 4, subject to any limitations or filing

requirements set forth in the Shipping Act and FMC regulations. Such agreements include, *inter alia*:

(a) Agreements for any one or more of the other Parties to provide and/or perform, for the benefit of NEWCO, information technology services, accounting services, administrative services and operational functions.

(b) Agreements for any one or more of the other Parties to provide for the benefit of NEWCO union labor; provided, however, nothing contained in this Agreement shall preclude NEWCO from directly contracting for its own labor.

(c) Agreements for any one or more of the other Parties to lease to NEWCO stevedoring and terminal equipment necessary for NEWCO's operations.

4.6 NEWCO may form local operating subsidiaries in Charleston and Savannah to carry out any of the foregoing authorities separately for each specific port.

ARTICLE 5 COOPERATIVE WORKING ACTIVITIES

5.1 **General.** To promote the most efficient use of port and terminal assets and resources by NEWCO, the Parties are authorized to meet together, exchange information, consult, discuss, reach agreement about cooperation at the Ports, and, subject to the filing and effectiveness provisions of the Shipping Act and implementing regulations of the Federal Maritime Commission, implement or effectuate such agreements.

5.2 **Specific Types of Cooperation.** Particular areas where the Parties may cooperate, within the scope of its authority consistent with oversight of the particular Port, with regard to the operation of NEWCO include:

1. Operational matters, such the interchange of cargo, chassis, and containers, gate access and rules, use/storage of equipment use and/or measures to reduce vehicle congestion.
2. Activities or conditions relating to environmental issues, including the establishment and maintenance of programs to minimize environmental impact; measures to meet or implement mandatory or voluntary requirements with respect to air quality at the Port; and measures to promote the purchase or use of newer and/or more environmentally-sound equipment.
3. Security, (including physical and cyber security), compliance with federal, state, local, and other standards with respect to same, transportation worker identification credential (“TWIC”) technology and other port and cargo security technology (including hardware, software, and databases), as well as data and privacy compliance
4. Allocation and use of equipment, chassis, personnel, resources, and services for efficient and competitive service levels, including allocation of revenue or costs.
5. Joint contracting for the purchase, ownership, lease, or operation of equipment, facilities, and any services related thereto.

5.3 **Discussion and Exchange of Information.** In furtherance of the authorities set forth above, the Parties are authorized to meet as appropriate to discuss and exchange information regarding the following subjects as related to NEWCO’s operations at the Ports:

- (a) Joint or independent acquisition and utilization of marketing materials for individual customers and/or groups of customers (conferences, alliances, joint services,

carrier networks, ports, and other agreements to which ocean common carriers or ports are parties) (any such entity individually a “Customer” and collectively “Customers”), shippers, beneficial cargo owners, and ocean transportation intermediaries;

(b) Commercial opportunities regarding Customers. This includes vessel calls and rotations, operational efficiencies, cost reductions, the changing shipping environment, large ship operations, supply-chain technology, stevedoring, gate, rail and yard operations, warehousing, safety and security, customer service, and new product lines;

(c) Joint or independent acquisition, utilization, and best practices relating to operating systems and equipment;

(d) In addition, the Parties are authorized jointly to meet with and exchange information with Customers, shippers, other marine terminal operators, beneficial cargo owners, and ocean transportation intermediaries regarding operational issues and performance criteria at a Port or the Ports, subject to any limitations or filing requirements set forth in the Shipping Act and FMC regulations; and

(e) Nothing contained in this Article permits the Parties to exchange or share non-public information that is subject to a confidentiality agreement or restriction prohibiting or restricting such sharing or exchange.

5.4 Data and Information Collection.

In connection with the foregoing, the Parties are authorized to collect, obtain, compile, maintain, analyze, and develop relevant data, records, statistics, studies, compilations, consultancy reports, forecasts, projections, know-how, and other information regarding customers, assets,

leases, and providers (collectively “Data”) and to exchange, compile, maintain, analyze, and develop such Data, subject to any applicable confidentiality clause.

5.5 Limitations and Filing Requirements.

Implementation of any agreements between the Parties or with third parties shall be subject to the filing and effectiveness requirements of the Shipping Act and the Federal Maritime Commission’s implementing regulations, to the extent applicable.

ARTICLE 6 ADMINISTRATION AND DELEGATION OF AUTHORITY

This Agreement will be administered by the Parties through their respective Chief Executive Officer/Executive Director or individuals delegated by the Parties’ respective Chief Executive Officers/Executive Directors. The activities may be carried out by face-to-face meeting, telephone or video conference, electronic mail or other electronic communication, or such other means of communication as the Parties may deem appropriate. The Parties may establish such committees as they deem appropriate for furtherance of the purposes of this Agreement.

The Parties’ respective Chief Executive Officers, or their delegates (including counsel to a Party), are authorized to execute this Agreement and any subsequent amendments hereto on behalf of the Parties, and to make or authorize the filing of this Agreement and any subsequent amendments with the Federal Maritime Commission, as well as the filing of minutes of discussions covered by this Agreement as and when required by 46 C.F.R. § 535.704.

ARTICLE 7 VOTING

Except as specifically otherwise provided hereunder, all matters relating to this Agreement shall be by unanimous agreement of the Parties.

ARTICLE 8 CONFIDENTIALITY

The Parties agree and understand that all information exchanged under this Agreement may contain non-public, confidential business information, and trade secrets. The Parties shall treat all non-public information exchanged pursuant to this Agreement as confidential. The Parties recognize that such confidentiality may be limited by legal requirements applicable to one or both Parties under federal, state, or local law.

The confidential information of each Party shall remain the property of the Party despite being shared with other Parties. In the event a Party elects to terminate this Agreement, all Parties will return, or certify the deletion and/or destruction of, any confidential information received from another Party under this Agreement. The obligations under this Article survive the termination of the Agreement.

ARTICLE 9 EFFECTIVE DATE, DURATION, AND TERMINATION

This Agreement will become effective on the date it becomes effective under the Shipping Act, and will remain in effect indefinitely. This agreement may be terminated with the unanimous consent of all three parties, or upon the occurrence of a termination event as defined in the formation documents of NEWCO.

ARTICLE 10 AMENDMENTS

The terms of this Agreement may be amended by unanimous agreement of the Parties. Such amendments shall be in writing, signed by the Parties, and to the extent required under the Shipping Act, shall be filed and only become effective as provided in the Shipping Act and applicable regulations.

ARTICLE 11 NOTICES

Any notice permitted or required under this Agreement shall be in writing and served on each Party at the address set forth herein (or such other address as may be designated by the Party), either by electronic delivery, first class certified mail, return receipt requested, or by overnight delivery service.

ARTICLE 12 COUNTERPARTS

This Agreement and any future amendment hereto may be executed by the Parties' duly-authorized representatives in multiple original counterparts. Each counterpart shall be deemed an original, and all together shall constitute one and the same agreement.

ARTICLE 13 LAW AND MEDIATION

This Agreement shall be governed by, and construed in accordance with, U.S. Maritime law, including the Shipping Act, and to the extent any matter is not addressed thereby, by the laws of the State of Delaware consistent therewith. In case of a dispute arising under or relating to this Agreement, the Parties agree to attempt to settle the dispute amicably through non-binding mediation before bringing any action, but completion of the mediation shall not be required as a

condition to bringing any other legal action. A Party may invoke mediation by submitting a written notice to the other Party(ies). The involved Parties will attempt to agree on a mediator within ten (10) days of the written notice and mediation will conclude within 30 days of the written notice unless the Parties agree to an extension of mediation. The Parties agree that any mediation shall take place in Charleston, South Carolina, unless the Parties mutually agree to a different location. The Parties agree that any action shall be brought in the state or federal courts sitting in Charleston County, South Carolina, and the Parties specifically and explicitly submit to the jurisdiction of those courts.

SIGNATURE PAGE

IN WITNESS WHEREOF, the Parties have caused this Agreement to be executed by
their authorized representatives as of this 28 day of Mar., 2019:

Ports America



[Name] Mark Montgomery
[Title] President & CEO

Ceres

[Name]
[Title]

SSA



[Name] Mark Knudsen
[Title]

IF "

SIGNATURE PAGE

IN WITNESS WHEREOF, the Parties have caused this Agreement to be executed by
their authorized representatives as of this 28 day of March, 2019:

Ports America

[Name]
[Title]

Ceres



[Name] Patrick Burgoyne
[Title]

SSA

[Name]
[Title]

APPENDIX A

The names and addresses of the Parties are:

Ports America Florida, Inc.
525 Washington Blvd
Suite 1660
Jersey City, NJ 07310

SSA Atlantic, LLC
(f/k/a SSA Cooper LLC)
1131 SW Klickitat Way
Seattle, WA 98134

Ceres Marine Terminals Inc.
2 Tower Center Blvd.
East Brunswick, NJ 08816

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

	X	
INTERNATIONAL LONGSHOREMEN’S	:	
ASSOCIATION,	:	
5000 West Side Avenue	:	
North Bergen, NJ 07047,	:	Civil Action No.: _____
	:	
Complainant,	:	
	:	
v.	:	
	:	
GATEWAY TERMINALS, LLC, PORTS	:	
AMERICA FLORIDA, INC., CERES MARINE	:	
TERMINALS INC. AND SSA ATLANTIC, LLC,	:	
	:	
Respondents.	:	
	:	
	X	

NOTICE OF APPEARANCE

PLEASE TAKE NOTICE that, pursuant to 46 C.F.R. § 502.21(a), John P. Sheridan of Mazzola Mardon, P.C. hereby appears as counsel for Plaintiff, International Longshoremen’s Association.

The undersigned is an attorney admitted to practice and in good standing before the courts of the State of New York.

Please keep the undersigned apprised of the service of notices, motions, orders and decisions in this proceeding by electronic mail.

Dated: New York, New York
March 30, 2022

MAZZOLA MARDON, P.C.

By: /s/ John P. Sheridan
John P. Sheridan
NY Bar No.: 3969078
26 Broadway, 17th Floor
New York, New York 10004
Tel. (212) 425-3240
Fax. (212) 509-8952
jsheridan@mmmpc.com

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

	X	
INTERNATIONAL LONGSHOREMEN'S	:	
ASSOCIATION,	:	
5000 West Side Avenue	:	
North Bergen, NJ 07047,	:	
	:	
Complainant,	:	
	:	
v.	:	
	:	
GATEWAY TERMINALS, LLC, PORTS	:	
AMERICA FLORIDA, INC., CERES MARINE	:	
TERMINALS INC. AND SSA ATLANTIC, LLC,	:	
	:	
Respondents.	:	
	:	
	X	

Civil Action No.: _____

NOTICE OF APPEARANCE

PLEASE TAKE NOTICE that, pursuant to 46 C.F.R. § 502.21(a), Nicholas M. Graziano of Mazzola Mardon, P.C. hereby appears as counsel for Plaintiff, International Longshoremen's Association.

The undersigned is an attorney admitted to practice and in good standing before the courts of the State of New York.

Please keep the undersigned apprised of the service of notices, motions, orders and decisions in this proceeding by electronic mail.

Dated: New York, New York
March 30, 2022

MAZZOLA MARDON, P.C.

By: /s/ Nicholas M. Graziano
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